

July 24, 2025 09:26 AM GMT

ASMPT Ltd | Asia Pacific

AI data centers spark growth; upgrade to OW

WHAT'S CHANGED

ASMPT Ltd (0522.HK)	From	To
Rating	Equal-weight	Overweight
Price Target	HK\$63.00	HK\$80.00

We see AI data centers driving mainstream tool growth for the next 2-3 years; the auto & industrial mix has dropped to an historical low with downside looking limited. Upgrade to OW.

Expectations have reset, AI data centers to drive mainstream growth: Our previous EW rating on ASMPT ([link](#)) stemmed from expectations of a slow recovery in the mainstream semi market, and while TCB growth was strong it was not enough to offset the slow pace of recovery at only ~10% of the overall company mix (as of 2024). The company now sees demand for AI data centers driving growth in its mainstream tool business, including die bonders, wire bonders, molding equipment. While the mix so far is small, we think the growth potential is big. NVIDIA is leading the transition to 800 V HVDC data center power infrastructure to support 1 MW IT racks and beyond, starting in 2027 ([link](#)), and supply chain companies are following suit, willing to invest in new technologies to deliver what NVIDIA needs.

Solid progress in TCB, with more upside in China: As we previewed in early July ([link](#)), ASMPT delivered a solid result in TCB, with more orders for chip-to-substrate (C2S) solutions at the leading foundry's OSAT partner and chip-to-wafer AOR TCB shipments targeted to grow next year, albeit not for the NVIDIA Rubin series, which might stick to mass reflow for the C2W process. As for HBM, one HBM customer has begun low volume manufacturing for HBM4 12H with ASMPT's TCB, demonstrating ASMPT's technological competitiveness in the HBM-use TCB area. China's advanced packaging and HBM development is ongoing, and we view ASMPT as a strong competitor in the space, as it benefits from China capex spend.

Auto & industrial mix dropped to an historical low, we see limited downside ahead: soft auto & industrial demand has been an overhang for ASMPT's earnings since 2023, with the mix dropping to 23% from the peak level of 41% in 1H22. Management expects near-term automotive and industrial end demand to remain soft. We think recovery is likely in 2026 and 2027, as Tier 1 inventory digestion is normalizing ([Exhibit 6](#)) and the Chinese auto market remains robust.

Upgrade to OW, lifting PT to HK\$80: ASMPT has been a laggard in the advanced packaging space, due to a slow recovery in the mainstream semi market and soft auto and industrial demand. With AI data centers driving demand for mainstream tools and the auto & industrial mix at trough levels, we think risks are skewed to the upside. We raise our 2025/26/27 EPS by 36%/4%/12%, respectively, and raise our price target to HK\$80. We view the valuation as attractive with ASMPT trading at 18x our 2026 EPS, below the 10-year historical average of 27x.

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ASMPT Ltd (0522.HK, 522 HK)				
Greater China Technology Semiconductors Hong Kong				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	HK\$80.00			
Up/downside to price target (%)	14			
Shr price, close (Jul 24, 2025)	HK\$70.20			
52-Week Range	HK\$117.27-42.66			
Sh out, dil, curr (mn)	398			
Mkt cap, curr (mn)	HK\$27,912			
EV, curr (mn)	HK\$22,363			
Avg daily trading value (mn)	HK\$180			
Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (HK\$)**	0.83	1.19	3.81	4.70
Prior EPS (HK\$)**	-	0.88	3.65	4.18
EPS (HK\$)§	1.34	1.81	3.50	5.01
Revenue, net (HK\$ mn)	13,229	13,876	16,150	17,385
EBITDA (HK\$ mn)	1,141	1,359	2,928	3,531
ModelWare net inc (HK \$ mn)	345	498	1,585	1,958
P/E	89.8	58.8	18.4	14.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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AI data centers to drive mainstream demand, historical low demand for auto & industrial offers downside protection

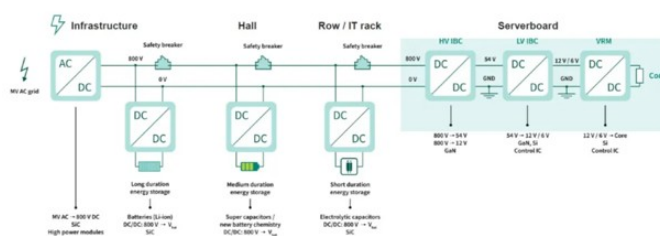
AI data center demand to drive growth in mainstream tool. AI growth requires more power-efficient data centers or racks and there is a trend to shift towards 800 V HVDC (high-voltage direct current) data center power infrastructure. This architecture requires silicon-based components like MOSFETs, controllers, and gate drivers, as well as SiC and GaN chips. To manufacture these chips, there is increasing demand for wire bonders, die bonders, molding, sintering and SMT placement tools. We think we are still in the early stage of this trend as the advocacy by NVIDIA was put forward in only May 2025 ([link](#)). We expect demand for AI data centers to drive growth in mainstream tools in the next three years.

Exhibit 1: Nvidia data center ecosystem

Silicon providers	Infineon, MPS, Navitas, ROHM, STMicroelectronics, Texas Instruments
Power system components	Delta, Flex Power, Lead Wealth, LiteOn, Megmeet
Data center power systems	Eaton, Schneider Electric, Vertiv

Source: Nvidia

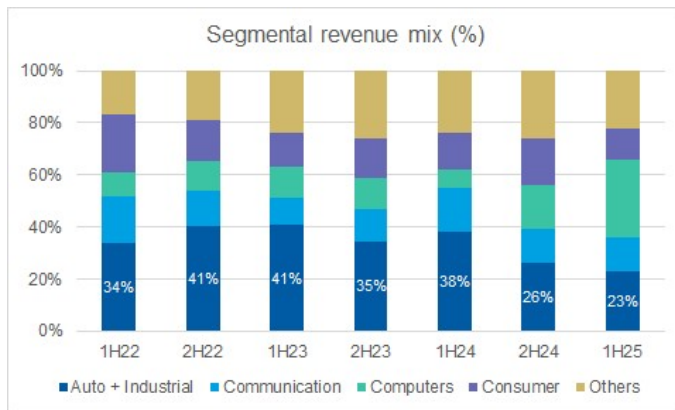
Exhibit 2: Future GW-scale data center architecture



Source: Infineon

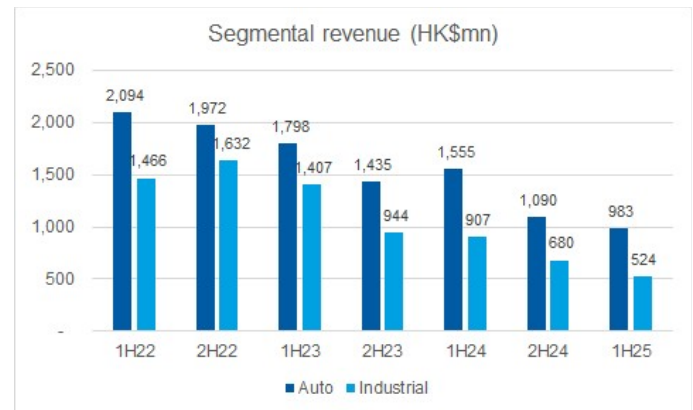
Auto segment revenue hit the trough, risks skewed to the upside: ASMP earnings have suffered from auto and industrial inventory digestion since 2023, with the auto and industrial mix declining to only 23% in 1H25. Meanwhile, computers (data centres, HPC, servers) surpassed auto and industrial to become the number 1 revenue contributor in 1H25, accounting for 30% of the revenue mix. While management still expects near-term automotive and industrial end-demand to remain soft, we think recovery is likely in 2026 and 2027, as Tier 1 inventory digestion is normalizing ([Exhibit 6](#)) and the Chinese auto market remains robust. NXP recently indicated that its front-end utilization moved up to the mid-70% range during the June quarter from the low-70% level in the March quarter ([link](#)). Although utilization is not full so as to add additional capacity, we see limited downside at this level and risk more skew to the upside. Moreover, the margin for auto and industrial products in general is higher than that for consumer and communication, thus if the auto and industrial market starts to improve that would be accretive to overall gross margin.

Exhibit 3: Auto and industrial mix declined to an historical low in 1H25; we see limited downside from here



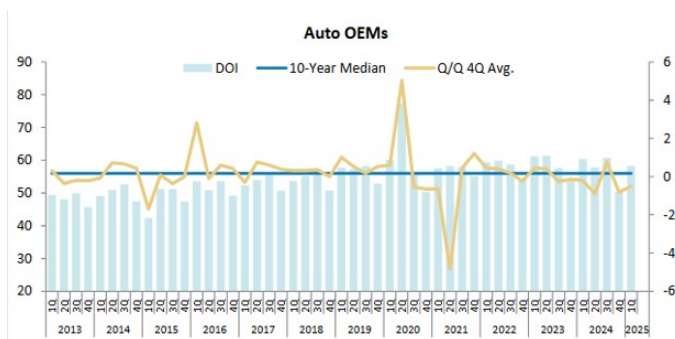
Source: Company data, Morgan Stanley Research

Exhibit 4: Absolute level of revenue also hit a record low in 1H25



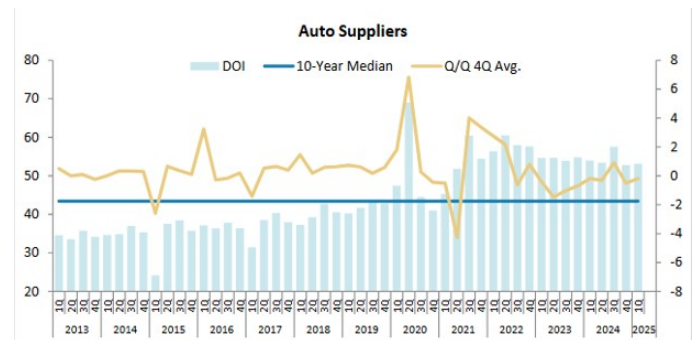
Source: Company data, Morgan Stanley Research

Exhibit 5: Auto OEM inventory level is about the historical average...



Source: Company data, Morgan Stanley Research

Exhibit 6: Auto suppliers' inventory days are normalizing



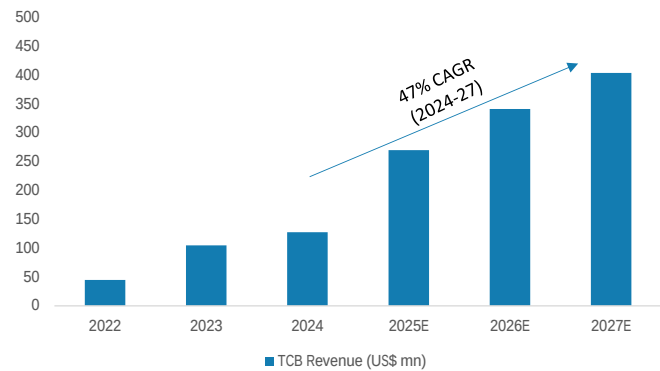
Source: Company data, Morgan Stanley Research

AI server PCB ramp-up a minor positive for SMT business. AI server has been a structural driver for the overall semiconductor industry since 2023, recently we have also seen PCB vendors ramping up the capacity for AI servers. We attribute part of that demand to unstable PCB yield rates at the midstream, one example is the Trainium2 chip, as we discussed in our report, [AI ASIC: Reconciling Trainium2 chip shipments](#). Given the large size of PCB boards, the yield is relatively low at the computing tray level, leading to 30-40% more chips booked vs. chips produced. Therefore, more machine might be needed at the initial stage, but as yields improve (likely in 2H25) equipment procurement growth may be lower than AI chip volume growth. Also, the SMT business is a volume-driven business, thus recovery in broad consumer demand and in auto & industrial market demand is extremely important.

TCB on track with more upside from China. ASMPT TCB installed base surpassed 500 tools worldwide in 2Q25. The company won additional orders for chip-to-substrate (C2S) solutions at the leading foundry's OSAT partner and we expect chip-to-wafer AOR TCB shipment to grow next year, but not for Nvidia's Rubin series, as that may stick to mass reflow for the C2W process. As for HBM, one HBM customer began low volume

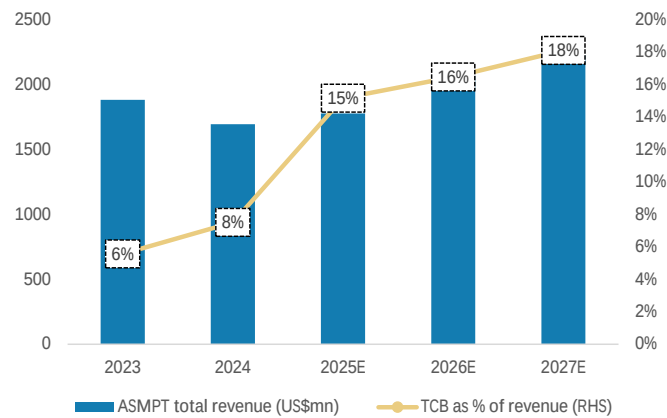
manufacturing of the HBM4 12H with the ASMPT's TCB, thus demonstrating its technological competitiveness in the HBM area. China advanced packaging and HBM development is ongoing, and we view ASMPT as a strong and competitive player benefiting from China capex spend. We expect ASMPT TCB revenue to record 47% revenue CAGR (2024-27E) in line with TSMC AI revenue growth guidance of mid 40%.

Exhibit 7: We expect ASMPT TCB tool revenue to grow at a 47% CAGR (2024-27)



Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 8: Revenue contribution from TCB tools likely to increase in the next three years

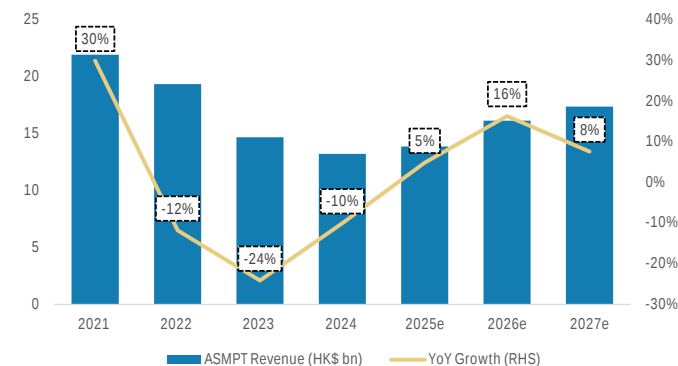


Source: Company data, Morgan Stanley Research (E) estimates

We expect strong earnings growth in 2026

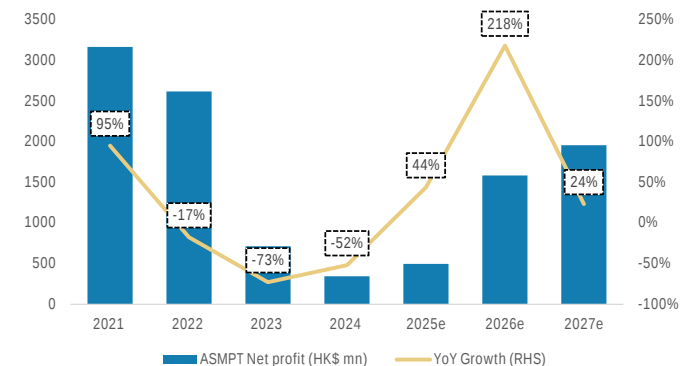
We expect 2026 earnings to triple vs the level in 2025. We expect 2026 revenue growth to accelerate to 16%, driven by 1) modest recovery in auto and industrial given inventory normalization in tier 1 and robust China EV demand; 2) increasing TCB shipment on the back of CoWoS-L capacity expansion and HBM4 capacity ramp-up; 3) increasing AI data center demand. We expect gross margin to improve to 43.9%, 3.5ppt higher than the 2025 level, thanks to increasing contribution from the margin accretive TCB business and auto & industrial tool mix increase. We expect opex to increase in 2026 as the company needs to continue to invest in R&D but at a slower rate than revenue growth. Our 2026 EPS is 8% higher than consensus and we are confident that the AI secular trend and cyclical recovery of auto and industrial will drive growth.

Exhibit 9: We expect revenue growth to accelerate to 16% in 2026



Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 10: We expect net profit to triple in 2026 driven by AI secular demand and auto & industrial cyclical recovery



Source: Company data, Morgan Stanley Research (e) estimates

Where could we go wrong?

- Soft auto and industrial demand continue in 2026 with no recovery.
- Competitors like K&S (KLIC.O) catch up in terms of fluxless TCB technology, thus order allocation favors ASMPT's competitors.
- Global macro economy deteriorates, which would affect consumer spending on smartphones, PCs and consumer electronics.
- No technology improvement in its hybrid bonding tool, and only a few tool shipments in the next three years.

The stock could de-rate to 1x P/B if margin expansion in 2026 disappoints or revenue declines again. ASMPT's net margin has been thin at ~10% on average over the past 10 years, thus earnings volatility is high. If any of the above-mentioned situations were to occur in 2026, it would affect the company's revenue growth as well as near-term earnings, and the stock may de-rate to 1x book value, the trough level of the past 12 years.

Exhibit 11: ASMPT: NTM rolling P/B vs. ROAE



Source: Company data, Refinitiv, Morgan Stanley Research estimates

Exhibit 12: ASMPT: NTM rolling P/E

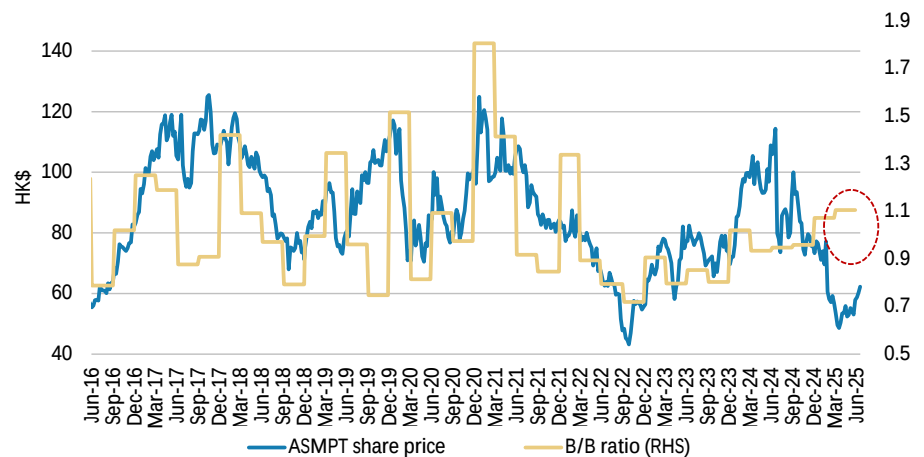


Source: Company data, Refinitiv, Morgan Stanley Research estimates

B/B Ratio above parity for two consecutive quarters

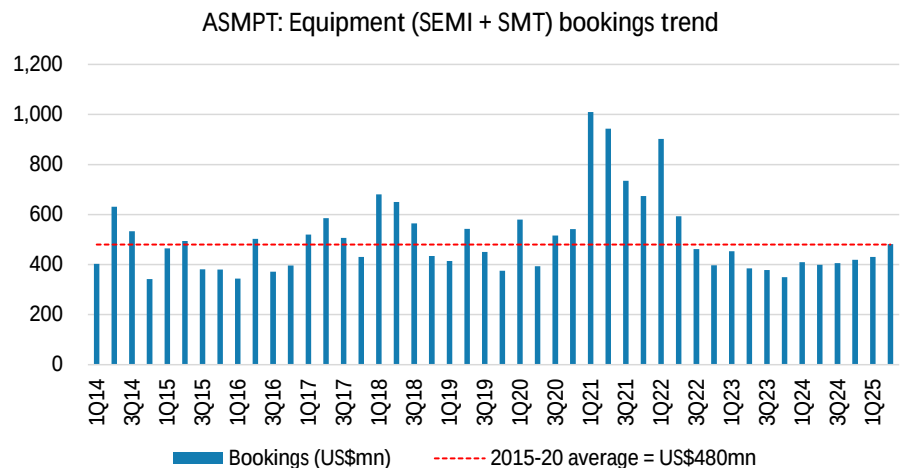
The company expects 3Q25 bookings to be down by single digits Q/Q, but be up in the double digits Y/Y. SEMI bookings are likely to remain strong, mainly due to strong demand for advanced packaging tools. For SMT, management expects bookings to come down, due to the absence of a big order that the company had in 2Q25. Historically, ASMPT's share price movements are highly correlated with the direction of its book-to-bill (B/B) ratio.

Exhibit 13: ASMPT: Share price vs. B/B ratio



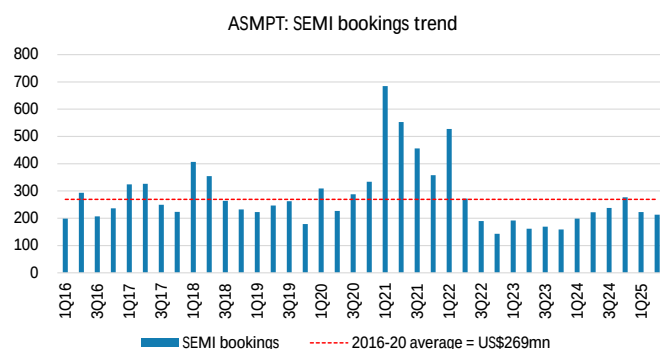
Source: Company data, Refinitiv, Morgan Stanley Research estimates.

Exhibit 14: Bookings recovered to historical average levels



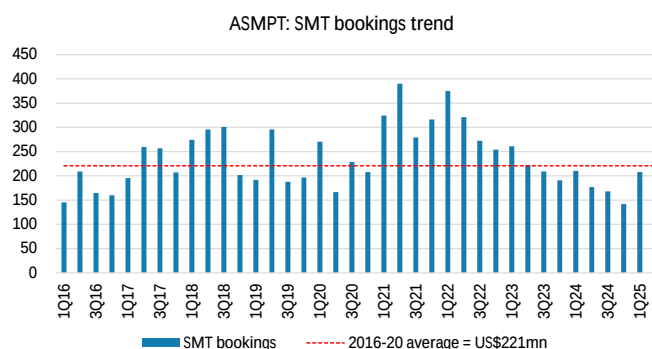
Source: Company data, Morgan Stanley Research estimates.

Exhibit 15: ASMPT's SEMI bookings declined due to uneven AP order flow



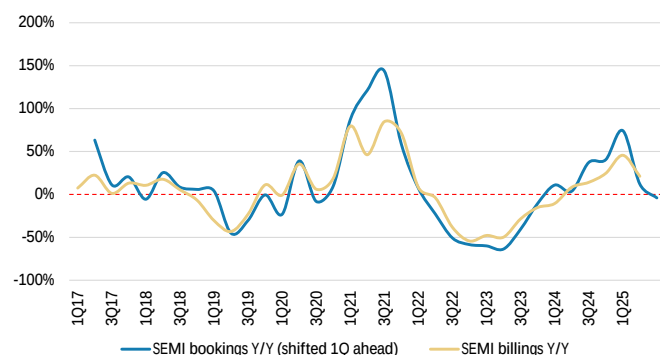
Source: Company data, Morgan Stanley Research estimates.

Exhibit 16: SMT bookings increased due to bulk orders to meet supply chain diversification needs for smartphone



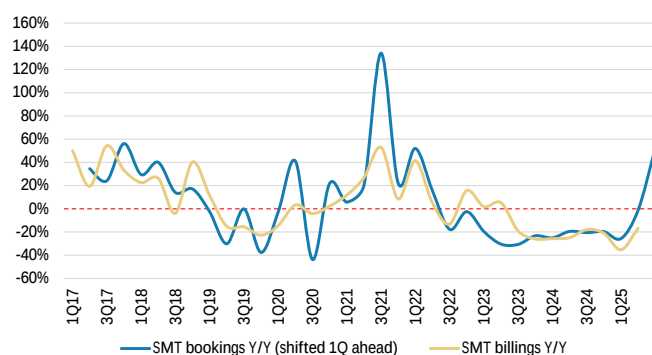
Source: Company data, Morgan Stanley Research estimates.

Exhibit 17: ASMPT: SEMI bookings vs. SEMI billings Y/Y



Source: Company data, Morgan Stanley Research estimates.

Exhibit 18: ASMPT: SMT bookings vs. SMT billings Y/Y



Source: Company data, Morgan Stanley Research estimates.

Estimate revisions

We raise our 2025/26/27e EPS estimates by 36%/4%/12%, respectively: We incorporate the 2Q25 results and 3Q25 guidance. We raise our revenue assumptions to reflect improving SMT revenue and sustained advanced packaging tool revenue like TCB. We expect AI data centers to drive future revenue growth in 2026 and 2027, and demand for auto and industrial goods to recover from the low levels in 2025. Our margin assumptions are largely unchanged.

Exhibit 19: ASMP: Estimate summary

(HK\$ mn)	New 2025e	Last published 2025e	Diff.	New 2026e	Last published 2026e	Diff.	New 2027e	Last published 2027e	Diff.
Net sales	13,876	13,628	2%	16,150	15,540	4%	17,385	16,205	7%
Gross profit	5,610	5,566	1%	7,088	6,948	2%	8,055	7,712	4%
Operating profit	823	709	16%	2,064	1,987	4%	2,601	2,325	12%
Pretax income	591	481	23%	2,118	2,021	5%	2,615	2,319	13%
Net income	498	366	36%	1,585	1,519	4%	1,958	1,742	12%
Reported EPS	1.19	0.88	36%	3.81	3.65	4%	4.70	4.18	12%
Margins									
Gross margin	40.4%	40.8%		43.9%	44.7%		46.3%	47.6%	
Operating margin	5.9%	5.2%		12.8%	12.8%		15.0%	14.4%	
Net margin	3.6%	2.7%		9.8%	9.8%		11.3%	10.8%	

Source: Morgan Stanley Research (e) estimates

Exhibit 20: ASMP: Semi-annual financials

(HK\$ mn)	1H24	2H24	1H25	2H25e	2024	2025e	2026e	2027e
Revenue	6,481	6,748	6,526	7,350	13,229	13,876	16,150	17,385
Semiconductor Solutions (SEMI)	3,037	3,769	4,000	4,411	6,806	8,411	9,616	10,289
SMT	3,444	2,979	2,526	2,939	6,423	5,465	6,534	7,096
Seq %	-5.8%	4.1%	-3.3%	12.6%				
Y/Y %	-17.1%	-1.9%	0.7%	8.9%	-10.0%	4.9%	16.4%	7.7%
Cost of Goods (inc. depreciation)	3,828	4,112	3,897	4,370	7,940	8,266	9,062	9,330
Percent of Revenues	59.1%	60.9%	59.7%	59.5%	60.0%	59.6%	56.1%	53.7%
Gross Profit	2,653	2,636	2,630	2,980	5,289	5,610	7,088	8,055
Gross margin	40.9%	39.1%	40.3%	40.5%	40.0%	40.4%	43.9%	46.3%
Other Revenue (Interest Income)	160	108	80	80	269	160	240	200
Selling Expense	733	761	756	826	1,494	1,582	1,653	1,734
Percent of Revenues	11.3%	11.3%	11.6%	11.2%	11.3%	11.4%	10.2%	10.0%
General Administrative Expenses	552	608	527	559	1,160	1,086	1,080	1,240
Percent of Revenues	8.5%	9.0%	8.1%	7.6%	8.8%	7.8%	6.7%	7.1%
Net R & D Expenses	993	1,084	1,017	1,102	2,077	2,119	2,290	2,480
Percent of Revenues	15.3%	16.1%	15.6%	15.0%	15.7%	15.3%	14.2%	14.3%
Operating Profit	375	183	330	494	558	823	2,064	2,601
Percent of Revenues	6%	3%	5%	7%	4.2%	5.9%	12.8%	15.0%
Finance Costs	96	105	90	96	201	186	186	187
Profit Before Tax	455	47	214	377	502	591	2,118	2,615
Taxes	141	19	(4)	94	159	91	529	654
Tax Rate %	31%	40%	-2%	25%	31.8%	15.3%	25.0%	25.0%
Minority	(1)	(2)	2	0	(3)	3	3	3
Net Profit	315	30	215	282	345	498	1,585	1,958
Percent of Revenues	5%	0%	3%	4%	2.6%	3.6%	9.8%	11.3%
Y/Y %	-49.6%	-66.3%	-31.6%	832.3%	-51.7%	44.2%	218.5%	23.5%
EPS Diluted	0.76	0.07	0.52	0.68	0.83	1.19	3.81	4.70

Source: Company data, Morgan Stanley Research (e) estimates

Valuation methodology

We raise our price target to HK\$80. Our price target, which is also our base case scenario value, is derived from our residual income model. The change to our price target mainly reflects our raised earnings estimates for 2025/26/27, we also roll forward our price target to 2026 from 2025; as we are now in 2H25, investors focus more on the outlook for 2026 earnings and beyond. We keep all our key assumptions unchanged, including our cost of equity of 9.2% (beta of 1.3, risk-free rate of 2% and risk premium of 5.5%), intermediate growth rate of 8% and terminal growth rate of 3.5%.

Exhibit 21: ASMPT: Residual income model

(HK\$ mn)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e	2037e
Total Equity	16,654	18,613	19,247	19,932	20,672	21,471	22,335	23,267	24,274	25,361	26,535	27,803
Net Profit	1,585	1,958	2,115	2,284	2,467	2,664	2,877	3,107	3,356	3,624	3,914	4,227
ROAE	9.8%	11.1%	11.2%	11.7%	12.1%	12.6%	13.1%	13.6%	14.1%	14.6%	15.1%	15.6%
Residual Income	108	326	376	483	598	722	856	1,000	1,156	1,324	1,505	1,701
Spread	0.7%	2.0%	2.0%	2.5%	3.0%	3.5%	4.0%	4.5%	5.0%	5.5%	5.9%	6.4%
Ending Equity Capital	16,654											
PV of Forecast Period	4,724											
PV of Continuing Value	11,893											
Equity Value	33,271											
No. of Shares	417											
Projected Price	80											

Source: Company data, Morgan Stanley Research (e) estimates

Risk Reward – ASMPT Ltd (0522.HK)

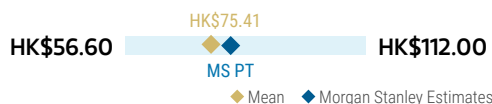
AI data centers to drive mainstream demand

PRICE TARGET HK\$80.00

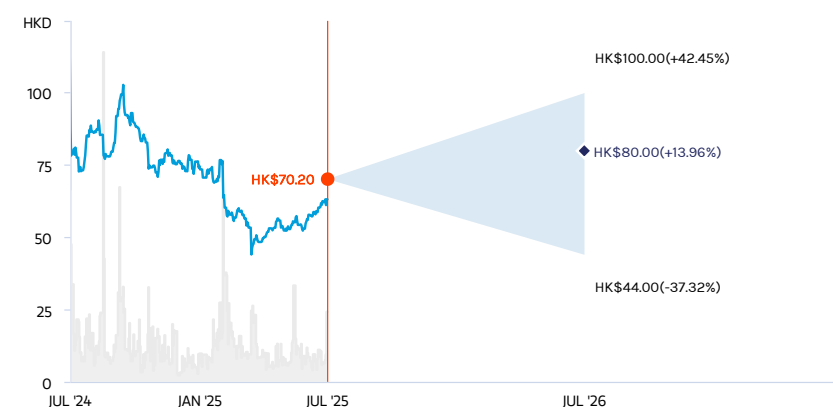
Base case, residual income model. Key assumptions: cost of equity 9.2% (2% risk-free rate, 5.5% equity risk premium, 1.3 beta), intermediate growth rate 8.0%, terminal growth rate 3.5%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



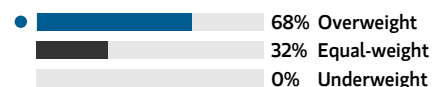
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect AI data center demand to drive mainstream tool growth and we are in the early stage of the trend.
- Auto and industrial mix dropped to an historical low in 1H25, indicating limited downside risk.
- We see upside from China in both logic and HBM TCB for ASMPT.
- Long term, we believe ASMPT can benefit from CoWoS, HBM, silicon photonics, and CPO capacity expansion.
- ASMPT's 2026e P/E is lower relative to its peers BESI and Hanmi; we expect the stock to re-rate to 21x our 2026 EPS, benefiting from secular AI growth.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$100.00

26x 2026e P/E

Stronger demand in all segments: Accelerated revenue growth with advanced technology such as TCB (thermo compression bonders), thanks to successful penetration of HBM customers. Technological breakthrough in hybrid bonding.

BASE CASE

HK\$80.00

21x 2026e P/E

Advanced packaging continues to grow robustly while mainstream semi remains weak: Revenue grows at 10% with TCB generating a 47% revenue CAGR (2024-27), gross margin gradually improves from 40% to 46% in 2027 with increasing proportion of TCB. Opex increases over the years, reflecting more R&D investment.

BEAR CASE

HK\$44.00

12x 2026e P/E

Semi downturn lasts longer than expected -- capital spending does not return, and back-end equipment business sees limited demand: SMT businesses also suffer. Margin fails to remain at relatively high levels across segments owing to mediocre pricing environment and lower production loading amid weaker demand for back-end equipment.

Risk Reward – ASMPT Ltd (0522.HK)

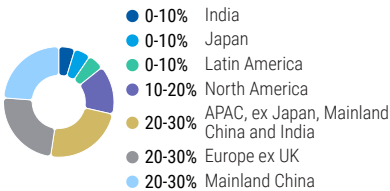
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Semiconductor Solutions revenue (HK\$, mn)	6,806,276	8,411,096	9,615,835	10,289,391
SMT solution revenue (HK\$, mn)	6,422,803	5,465,329	6,533,745	7,096,094

INVESTMENT DRIVERS

- Booking guidance
- Auto and industrial demand
- Customer order win in TCB
- Technology breakthrough in hybrid bonding

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Chinese OSAT companies' demand increases and they start expanding capacity.
- Advanced packaging tools adoption is stronger than expected; ASMPT gains market share.
- Hybrid bonding tool makes a technological breakthrough.

RISKS TO DOWNSIDE

- Global economic and semiconductor growth is slower than expected.
- Chinese OSAT companies' demand weakens and they stop expanding capacity.
- No progress is made on hybrid bonding tool.

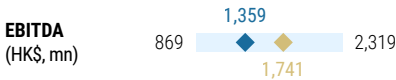
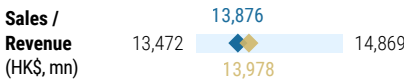
OWNERSHIP POSITIONING

Inst. Owners, % Active 88.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

ASMPT: Financial summary

Exhibit 22: ASMPT: Financial Summary

Income Statement

HK\$m (Years End Dec)	2024	2025e	2026e	2027e
Net sales	13,229	13,876	16,150	17,385
COGS	(7,940)	(8,266)	(9,062)	(9,330)
Gross profit	5,289	5,610	7,088	8,055
Operating expenses	(4,731)	(4,787)	(5,023)	(5,454)
Operating income	558	823	2,064	2,601
Non-operating income	(57)	(232)	54	13
Pre-tax income	502	591	2,118	2,615
Income tax	(156)	(93)	(532)	(656)
Minority Interests	(3,038)	2,516	2,873	2,821
Net income	345	498	1,585	1,958
Adj. wtd. avg. shrs (m)	416	417	417	417
Modelware EPS (HK\$)	0.83	1.19	3.81	4.70

Cash Flow Statement

HK\$m (Years End Dec)	2024	2025e	2026e	2027e
Cashflow from Operations	1,020	964	1,636	2,523
Pretax Operating Profit	502	591	2,118	2,615
Depreciation	707	742	864	930
Working Capital Change	(29)	(278)	(815)	(367)
Other adjustments	(159)	(91)	(529)	(654)
Cashflow from Investing	(607)	(276)	(1,157)	(841)
Capex	(319)	(336)	(395)	(428)
Other adjustments	(288)	60	(761)	(414)
Cashflow from financing	(235)	(241)	(479)	(911)
Increase in L/T debt	234	0	0	0
Increase in S/T debt	0	0	0	0
Cash Dividend Paid	(468)	(241)	(479)	(911)
Issuance of stock	0	0	0	0
Other adjustments	0	0	0	0
Net change in cash	178	447	0	770

Balance Sheet

HK\$m (Years End Dec)	2024	2025e	2026e	2027e
Cash	4,418	4,970	4,970	6,122
AR/NR	3,749	3,932	4,577	4,927
Inventory	5,989	6,235	6,835	7,038
Current Assets	15,095	16,076	17,321	19,025
Fixed assets	2,117	1,712	1,244	1,244
Other assets	6,461	6,401	7,162	7,576
Total Assets	23,673	24,189	25,727	27,845
S/T borrowings	306	306	306	306
AP/NP	2,324	2,419	2,652	2,731
Other ST liabilities	1,442	1,498	1,694	1,801
LT debt	2,375	2,375	2,375	2,375
Other LT liabilities	1,935	1,935	1,935	1,935
Total Liabilities	8,382	8,533	8,962	9,147
Common shares	15,292	15,548	16,654	18,613
Total Equity	15,292	15,548	16,654	18,613
Minority interests	0	3	5	8
Total Liab. & Shrhldr's Equity	23,673	24,084	25,622	27,768

Financial Ratios

	2024	2025e	2026e	2027e
Growth(%)				
Turnover	-10.0	4.9	16.4	7.7
Operating profits	-49.4	47.5	150.7	26.0
Pretax profits	-51.6	17.8	258.3	23.5
Net profits	-51.7	44.2	218.5	23.5
EPS	-52.0	43.9	218.5	23.5
Margins (%)				
Gross Margin	40.0	40.4	43.9	46.3
Operating Margin	4.2	5.9	12.8	15.0
Pretax Margin	3.8	4.3	13.1	15.0
Net Profit	2.6	3.6	9.8	11.3
Return (%)				
ROAA	1.4	2.1	6.4	7.3
ROAE	2.2	3.2	9.8	11.1
Gearing (%)				
Net Debt/Equity	(26.9)	(30.0)	(28.0)	(31.2)
Liabilities/Equity	54.8	54.9	53.8	49.1
Ratios (X)				
Current ratio	3.7	3.8	3.7	3.9
Quick ratio	2.0	2.1	2.1	2.3
Others				
AR/NR Turnover (days)	103	103	103	103
Inventory Turnover (days)	275	275	275	275
AP Turnover (days)	107	107	107	107
Cash Conversion (days)	272	272	272	272

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Source: Company data, Morgan Stanley Research (e) estimates

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Valuation Methodology and Risks

Hanmi Semiconductor Co. Ltd. (042700.KS)

Our PT of W100,000 is derived from 24x the average of our 2025-26 EPS estimates, in line with its mid-cycle average since mid-2022. With overseas ASPs rising and global HBM capex accelerating, we see increased visibility on both volume and margin sustainability – supporting a higher valuation multiple. Given the cyclical nature of the semiconductor industry, we use a near-term P/E multiple to value Hanmi Semi rather than RI.

Risks to Upside

- Substantially higher HBM capacity expansion by global DRAM makers
- Ultimately, penetrating into Samsung Electronics in the longer term

Risks to Downside

- Slower-than-expected HBM capacity expansion at SK Hynix and Micron
- Fierce competition among TC bonder suppliers, which may lead to rigorous pricing cuts
- Failure to secure enough orders at SK Hynix and share losses at Micron to other competitors

BE Semiconductor Industries NV (BESI.AS)

We apply a 40x multiple to our FY26 EPS estimate. This is a premium to the global peer group (although less significant against the European semi-cap peer group). We believe this valuation is fair, given the growth on offer (c.30% EPS CAGR) as well as potential upside to our estimate if/when the cycle turns as well as increasing hybrid bonding momentum and upside from customer wins in TCB.

Risks to Upside

- Faster adoption of Hybrid Bonding
- Faster and stronger recovery in Besi's core business
- Higher multiple due to (perceived) structural elements

Risks to Downside

- Downturn lasts longer as industry digests capacity build
- Competition emerges in Hybrid Bonding
- Hybrid Bonding adoption more limited

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of June 30, 2025)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1497	40%	372	45%	25%	702	41%
Equal-weight/Hold	1632	44%	380	46%	23%	776	45%
Not-Rated/Hold	4	0%	0	0%	0%	2	0%
Underweight/Sell	593	16%	79	10%	13%	233	14%
Total	3,726		831			1713	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

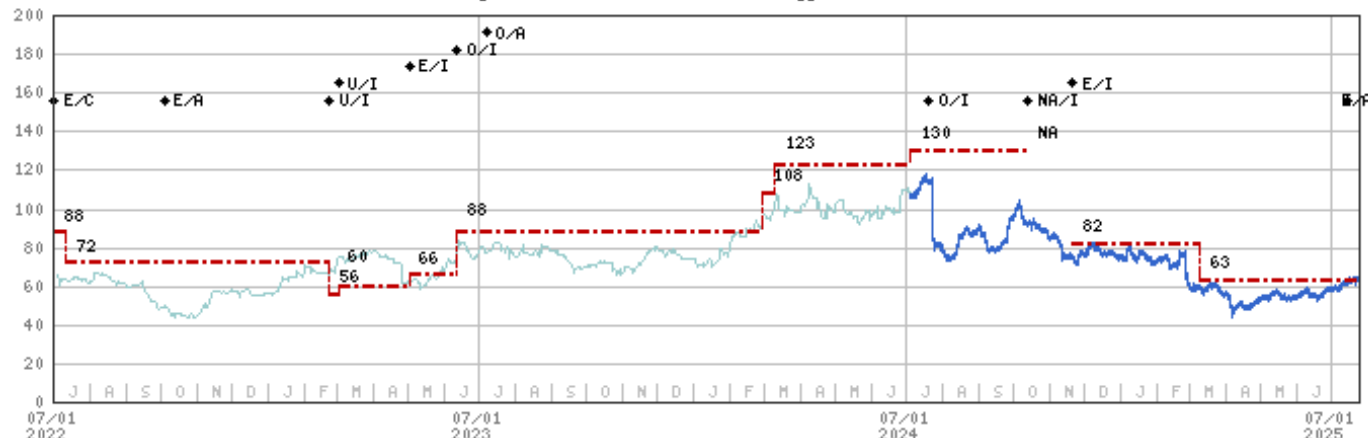
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

ASMP Ltd (0522.HK) - As of 07/24/25 GMT in HKD
Industry : Greater China Technology Semiconductors



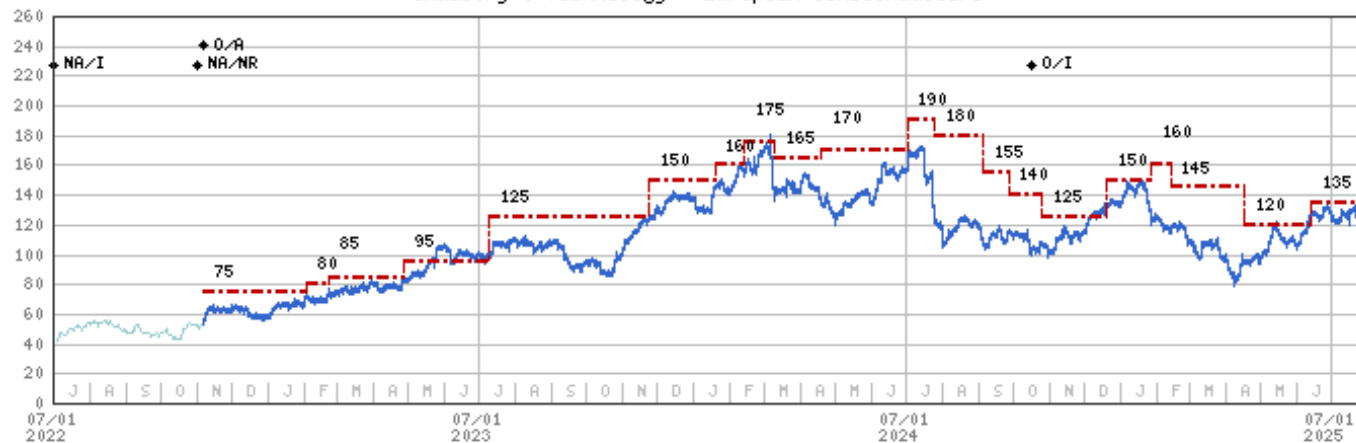
Stock Rating History: 7/1/20 : U/I; 10/26/20 : E/I; 1/12/21 : O/I; 10/12/21 : E/C; 10/4/22 : E/A; 2/22/23 : U/I; 3/2/23 : U/I; 5/2/23 : E/I; 6/12/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 10/14/24 : NA/I; 11/20/24 : E/I; 7/14/25 : E/A
Price Target History: 3/20/20 : 77; 10/26/20 : 86; 1/12/21 : 115; 1/21/21 : 131; 4/30/21 : 138; 5/20/21 : 123; 10/12/21 : 95; 1/24/22 : 88; 7/12/22 : 72; 2/22/23 : 56; 3/2/23 : 60; 5/2/23 : 66; 6/12/23 : 88; 2/29/24 : 108; 3/11/24 : 123; 7/5/24 : 130; 10/14/24 : NA; 11/20/24 : 82; 3/10/25 : 63

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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BE Semiconductor Industries NV (BESI.AS) - As of 07/24/25 GMT in EUR
Industry : Technology - European Semiconductors



Stock Rating History: 7/1/20 : NA/I; 12/15/21 : U/I; 2/8/22 : NA/I; 11/1/22 : NA/NR; 11/7/22 : O/A; 10/17/24 : O/I
Price Target History: 12/15/21 : 70; 2/8/22 : NA; 11/7/22 : 75; 2/3/23 : 80; 2/23/23 : 85; 4/27/23 : 95; 7/10/23 : 125; 11/24/23 : 150; 1/19/24 : 160; 2/13/24 : 175; 3/11/24 : 165; 4/19/24 : 170; 7/2/24 : 190; 7/26/24 : 180; 9/5/24 : 155; 9/27/24 : 140; 10/25/24 : 125; 12/20/24 : 150; 1/27/25 : 160; 2/13/25 : 145; 4/17/25 : 120; 6/13/25 : 135

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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Hanmi Semiconductor Co. Ltd. (042700.KS) - As of 07/24/25 GMT in KRW
Industry : S. Korea Technology



Stock Rating History: 7/1/20 : NA/A; 7/19/21 : NA/I; 8/12/21 : NA/C; 10/4/22 : NA/A; 7/21/24 : NA/I; 8/16/24 : O/I; 9/15/24 : O/C; 6/13/25 : O/I

Price Target History: 8/16/24 : 160000; 4/3/25 : 90000; 5/22/25 : 100000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/24/2025)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$30.19
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb199.02
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$89.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,975.00
Andes Technology Corp (6533.TW)	O (08/04/2022)	NT\$286.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$155.50
Global Unichip Corp (3443.TW)	O (07/27/2024)	NT\$1,190.00
GlobalWafers Co Ltd (6488.TWO)	E (02/22/2023)	NT\$348.50
Gudeng Precision (3680.TWO)	E (07/16/2025)	NT\$315.00
Hua Hong Semiconductor Ltd (1347.HK)	E (05/09/2025)	HK\$39.05
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$114.50
M31 Technology Corp (6643.TWO)	E (09/23/2024)	NT\$519.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb76.47
MediaTek (2454.TW)	O (09/12/2023)	NT\$1,430.00
Nanya Technology Corp. (2408.TW)	E (05/15/2025)	NT\$43.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb338.65
OmniVision Integrated Circuits Group Inc (603501.SS)	O (05/09/2025)	Rmb125.79
Phison Electronics Corp (8299.TWO)	O (03/11/2025)	NT\$523.00
SG Micro Corp. (300661.SZ)	O (06/17/2024)	Rmb71.24
Silergy Corp. (6415.TW)	O (02/13/2025)	NT\$349.00
SMIC (0981.HK)	E (04/09/2025)	HK\$50.25
TSMC (2330.TW)	O (02/07/2022)	NT\$1,145.00
UMC (2303.TW)	E (10/28/2024)	NT\$43.50
Vanguard International Semiconductor (5347.TWO)	U (08/05/2024)	NT\$95.20
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$87.80
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK\$70.20
China Resources Microelectronics Limited (688396.SS)	E (06/19/2025)	Rmb48.15
Elan Microelectronics Corp (2458.TW)	E (04/08/2025)	NT\$127.00
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb110.13
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	E (04/09/2024)	Rmb25.73
JCET Group Co Ltd (600584.SS)	U (09/25/2024)	Rmb34.70
Shanghai Anlogic Infotech Co Ltd (688107.SS)	E (05/14/2024)	Rmb28.23

Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$27.50
SICC Co Ltd (688234.SS)	O (09/18/2023)	Rmb60.71
StarPower Semiconductor Ltd (603290.SS)	O (03/01/2022)	Rmb85.62
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb67.98
Universal Scientific Ind. (Shanghai) (601231.SS)	E (10/23/2024)	Rmb14.68
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb52.88
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$309.50
ASMedia Technology Inc (5269.TW)	E (04/08/2025)	NT\$1,890.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$4,440.00
Egis Technology Inc (6462.TWO)	E (03/26/2024)	NT\$141.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb154.45
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb117.89
Macronix International Co Ltd (2337.TW)	U (10/19/2021)	NT\$20.20
Montage Technology Co Ltd (688008.SS)	++	Rmb83.68
Novatek (3034.TW)	O (03/18/2024)	NT\$497.00
Nuvoton Technology Corporation (4919.TW)	O (10/29/2024)	NT\$70.50
Parade Technologies Ltd (4966.TWO)	U (06/04/2024)	NT\$604.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	E (06/13/2024)	NT\$15.25
Realtek Semiconductor (2379.TW)	O (06/19/2025)	NT\$572.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb75.70
Sino Wealth Electronic (300327.SZ)	U (03/31/2025)	Rmb26.40
Winbond Electronics Corp (2344.TW)	O (03/11/2025)	NT\$17.35
WPG Holdings (3702.TW)	E (11/16/2023)	NT\$67.80
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb35.80
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	O (03/11/2025)	Rmb85.79
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	E (05/13/2025)	NT\$385.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$290.00
Himax Technologies Inc (HIMX.O)	O (05/09/2025)	US\$9.76
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$73.20

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Technology - European Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/23/2025)
Lee Simpson		
ASML Holding NV (ASML.AS)	E (09/20/2024)	€606.60
Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€35.85
STMicroelectronics NV (STMPA.PA)	E (02/13/2025)	€26.98
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€15.25
ASM International NV (ASML.AS)	O (06/19/2024)	€450.90
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€123.65
Melexis N.V. (MLXS.BR)	O (06/24/2025)	€70.15
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	Nkr 137.50
Soitec SA (SOIT.PA)	E (05/27/2024)	€41.29
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 298.20

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